Hormuz Strait Tension Forces BoJ's Hand

LONG JAPAN YEN - OIL SHOCK BREAKS THE HEDGE

Viewpoint

- Over 97% of oil are imported to Japan to fulfill its demand and approximately 95% of its crude oil supplies sourced from the Middle East

- Hormuz oil shock is not transitory — sustained supply disruption will keep oil prices elevated for weeks to months

- This is cost-push, not demand-pull inflation — BoJ cannot afford to wait despite CPI still within range

- BoJ will hike preemptively → JPY strengthens → USD/JPY downside

Market observation

- USD/JPY rallied tick for tick with the US Index at the start of tension indicates the capital inflow to USD due to its safe-haven property

- USD/JPY underperformed DXY on the downside as the conflict extended — yen selling was clearly the dominant flow, not dollar outflow

- Market has not yet fully priced the rate differential compression, which provides an asymmetrical return for USD/JPY short position

USD/JPY (23 FEB - 23 APR)

US Index (23 FEB - 23 APR)

Hormuz Strait Tension

Phase I (4-6 weeks)

Initial Shock

↓

Safe-haven Inflow

↓

USD/JPY surged to test 160.32

Phase II (Expected in 1-6 months)

Cost-push inflation will force BOJ to raise interest rate

Oil price ↑

↓

Cost-push Inflation ↑

↓

BOJ hike ↑

↓

JP Yen Inflow & Carry unwind

↓

USD/JPY sell off ↓

Oil Shock in Japan is Structural

- Over $90 billion worth of petroluem imported to Japan annually, with 20%↑ in oil price will cause Japan pay extra $18 billion for import
- Strait blockade → Supply Cut off → Tapping Strategic Reserve resulting in soaring energy pricing
- Sustained and unpredictive geopoliticial conflict → Oil price↑
- Alternative solution (Oil import from Central Asian, Detours) still results in significant increases in transportation costs and time

Bad inflation - BOJ cannot wait

- BOJ released its Outlook for Economic Activity and Prices, raising its forecast for the core CPI year 2026 to 2.1%, up from the 1.9% projected in January

- The current Governor of BOJ treats the cost-push inflation as a challenge because the raise of the forecast is driven by the oil shock rather than the increasing domestic demands

- Cost-push inflation will erode the purchasing power, result in household pain and harm the Japan's economy. Delay in interest rate hike will lead to expectations de-anchoring, undermining the very price stability the BoJ is mandated to protect.

Why BoJ Tolerated Cost-Push Inflation Before

- Japan was trapped in deflation for decades — any price increase, regardless of origin, was welcomed as a sign of reflation
- BoJ's primary mandate was to escape deflation, and ultra-loose policy was the only tool — tolerating cost-push inflation supported that goal
- Cost-push inflation, while imperfect, helped lift inflation expectations and break the deflationary psychology embedded in households and corporates

Why This Time is Different

- Japan has sustained CPI above 2% for consecutive quarters — the deflation chapter is closed, and the reflation trade is done
- Governor of BOJ has repeatedly signalled that unconventional stimulus is no longer necessary — the policy mandate has shifted from "escape deflation" back to "price stability"
- Rising household energy costs may increase political pressure on BOJ
- Tolerating cost-push inflation now carries the opposite risk: rather than anchoring expectations upward, it risks de-anchoring them — forcing a far more aggressive response later

Market pricing

- The current market is underestimating the persistence of the oil price hike and underestimating its influence to the Japan's inflation

- This misunderstanding is causing an over-optimistic expectation on BOJ's interest rate path, resulting in an asymmetrical return on USD-JPY

- Market is currently pricing a rate hike of 60 bps (2yr treasury bond 1.35% ⟶ 0.75% currently). We estimated BOJ will further rise its interest rate by 50bps (Taylor rule) to minimise the inflation shock

Taylor Rule: 0.4% + 1.5% + 0.5 * (1.5%-2%) + 0.5*0.37% =1.84%

Risks to our view

- Market quickly refill oil supply $\longrightarrow$ Oil price $\uparrow$ $\longrightarrow$ BOJ pauses rate $\uparrow$
  Recommendation: Unwind on confirmation

- Unemployment $\uparrow$ $\longrightarrow$ BOJ pivot policy to save economy
  Recommendation: Reduce position by 50% and monitor the CPI

- US Fed surprise rate hike $\longrightarrow$ Capital inflow to USD
  Recommendation: Unwind on confirmation

- Risks are event-driven rather than level-based — positions should be flattened at market upon confirmation of any risk scenario above

Trading recommendation — Setup

- View: Short USD/JPY
- Instrument: Sell 3M/6M USD/JPY forwards or
  Short USD/JPY OTM Call + Long USD/JPY OTM Put (Risk Reversal)
- Edge: Market underestimates the persistence of the oil supply shock on Japan's inflation and BOJ's hawkish scope
- Catalyst: 1. Rallying Japan's CPI; 2. BOJ's Hawish Stance;
  3. Oil prices remain elevated
- Positioning: USD/JPY positioning crowded on long side, making it vulnerable to sharp liquidation if rate expectations reprice higher

Trading recommendation — Execution

- Entry Signal: Entry at market price of 155.2 with confirmation on CPI expectation and BOJ's intervention signal

- Exit/Stop Loss:
  1. Event-Driven Exit: Flatten position immediately upon confirmation of any risk scenario above, regardless of current price level;
  2. Price-Level Stop: Hard stop at 160.3 — thesis is invalidated if USD/JPY reclaims previous record high, even in absence of a specific catalyst hike

- Target price: 142.38 (Monthly resistance with 1M MA)

- R/R ratio: (155.2 - 142.38)/(155.2 - 160.3) = 2.51:1

- Time Horizon: 3 — 6 months, conditional on oil price and central bank policy data

Conclusion

- Unless Japan finds out a strategy to effectively mitigate the energy crisis or cost-push inflation, JPY will strengthened in the near future — reinforcing a **sell-on-strength** strategy on USD/JPY